

THE INVEST *igator*

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Journey of Indian Stock Market

1979 - Sensex = 100,

1983 - Indian Cricket Team winning World Cup. Sensex = 212

1984 - Indira Gandhi shot dead & Bhopal Gas tragedy. Sensex = 245

1989 - Hung Parliament with Congress outside support. Sensex = 714

1991 - Rajiv Gandhi assassination. Sensex = 1168

1993 - Blast in Mumbai, at BSE building. Riots all over. Sensex = 2281

1994 - Sensex conquers 4600 in September.

1996 - Sensex drops to 2745, high interest rates, Corporate results.

2000 - Technology Boom, Sensex = 6006

2001- Terrorists attack World Trade Centre. Sensex = 2595,

2004- UPA coming to power with Left party support. Sensex = 6600,

2006 - Sensex conquers 10000,

2007 - Sensex conquers 20000,

2008 - Subprime Crisis, Crude oil rises to \$147. Sensex below 9000

2010 - Satyam scam, Common wealth scam. Sensex = 17590,

2013 - Fed - taper tantrums

2014 - NDA in power with 330 seats. Sensex = 25000.

2015 - Sensex conquers 30000.

2016- Demonetisation.

2017- Sensex conquers 34000 in December.

2020- Covid. Sensex back at 25900 on 23 march

2021 - Sensex conquers 62000 in October.

2022-2023 Russia Ukraine war, 525 bps rate hiked by Fed

2023 - Sensex conquers 65000 in August.

Downturns are temporary. India story is structural 👍 Be disciplined.

10 INVESTING RULES OF THUMB



By Brian Feroldi

1. RULE OF 72:

How much time in years it will take for your money to double.

$$72 \div \text{Interest Rate}$$

Divide 72 by the interest rate at which you are compounding your money.



2. RULE OF 114:

How much time in years it will take for your money to triple.

$$114 \div \text{Interest Rate}$$

Divide 114 by the interest rate at which you are compounding your money.



3. RULE OF 144:

How much time in years it will take for your money to quadruple.

$$144 \div \text{Interest Rate}$$

Divide 144 by the interest rate at which you are compounding your money.



4. RULE OF 70:

How much time it will take in years for your buying power to erode.

$$70 \div \text{Current Inflation Rate}$$

Divide 70 by the current inflation rate to see how many years it will take for your purchasing power to half.



5. THE 10, 5, 3 RULE

You can expect to:

Earn 10% annually from stocks

Earn 5% from bonds

Earn 3% from cash



6. THE 3-6 RULE

Put away at least 3-6 months worth of expenses and keep it in cash. This is your emergency fund.



7. THE 110 RULE

This rule is used for asset allocation.

$$110 - \text{Your Age}$$

This is the amount of your portfolio you should keep in stocks. The remainder should be in bonds or cash.



8. THE 15% RULE

Set aside at least 15% of your salary for retirement.



9. THE 4% RULE

This is the amount of your portfolio you can withdraw each year during retirement.



10. AGE X INCOME / 10 RULE

This rule shows how good you are at building wealth.

$$\frac{\text{Your Age} \times \text{Pre-tax income}}{10}$$

This is what your net worth should be.



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